# China Property

## Site visit note: A K-shaped recovery

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Our property trip to Shenzhen and Shanghai last week revealed that the local housing markets are stabilizing in a K-shape. Luxury property sales are robust on the back of strong demand. Transaction volume for entry-level units has recovered, but the midrange segment remains soft. While China Property's recovery remains city-/segment-specific, we selectively prefer developers with IP transformation stories and credits with decent valuations. We stay OW on: (1) the Longfor curve (9-10%) due to its solid debt servicing ability; and (2) SHUION '29s (9%), as they are a proxy for Shanghai's luxury market recovery with declining maturities. Seazen has managed to handle refinancing so far, but we stay Neutral on the '28s, as we find valuation fair after the compression from a 19% yield to 13% YTD.

- **Shenzhen housing market stabilizing in a K-shape:** A Shenzhen property expert we met noted that the city's secondary housing market has stabilized in pricing/volume on the back of policy easing in 1H26. Nevertheless, there is a clear differentiation across pricing tiers and districts. Luxury home sales are robust, and entry-level transactions have recovered, but the midrange segment remains weak. Nanshan and Futian have outperformed, but other districts are softer. Primary sales are driven by premium projects, and affordable/entry-level unit transactions are shifting to the secondary market. The expert believes Shenzhen's large-scale rollout of affordable housing may weigh on the mass market's recovery in the next few years.
- **Polarization seen on the ground:** Our channel checks in Shenzhen/Shanghai largely confirmed the expert's views. Luxury homes (>Rmb20mn) see robust sales on the back of limited supply and strong demand from young tech elites (a positive wealth effect from the AI/robotics boom). However, mass-market buyers remain price-sensitive due to concerns about job security, the wage outlook, etc. The IP projects we visited showed divergent performance, as well. While premium malls are solid on the back of property market stabilization/ strong equity markets, mass-market malls diverge subject to their location, tenant mix, operating strategies, etc.
- **Seazen: IP transformation and REIT as new funding channel:** Seazen aims to clear a majority of its DP inventories in three years, with no land acquisition plans in the near term. Management believes the retail market in tier-3/4 cities is more stable and less competitive, and it targets steady IP earnings growth with a focus on long-term competitiveness. Seazen sees Wanda as the key competitor in low-tier cities and noted limited competition from CR Mixc for now. It has managed to refinance maturities so far, thanks partly to a higher LTV for IP-backed loans, and it is exploring REIT as a new funding channel.
- **Stay selective, prefer Longfor curve and SHUION '29s:** We are OW on the LNGFOR curve and SHUION '29s at a >9% yield. We appreciate: (1) Longfor's solid debt servicing ability (Rmb17bn accessible cash + Rmb5bn-10bn annual FCF vs. Rmb6bn-7bn annual maturities); and (2) Shui On as a proxy for Shanghai's luxury market recovery with declining maturities. Seazen has managed to refinance maturities, but we find the '28s fair at a 13% yield.

**See page 10 for analyst certification and important disclosures.**

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# Highlights from experts and companies

## Expert meeting with Director of Centaline Property Agency (Shenzhen)

- **Stabilizing secondary pricing and volume:** The average **price** for secondary homes in Shenzhen has dropped 43% from the 2020 peak, to Rmb46,103/sqm. However, it has recovered by >2% since Jan-26, indicating a price bottom. Transaction **volume** in the secondary market bottomed last year. It reached 56K units in 2025 (+3.2% yoy) and 31K in 5M26 (+4.5% yoy). Secondary transactions have outpaced primary home sales (38K/15K units in 2025/5M26, -21%/-21% yoy).

- **Driven by policy relaxation:** There were three rounds of policy relaxation in 1H26: (1) VAT reduction on secondary home sales (lowered from 5% to 3% for units held for <2 years; full exemption after 2 years); (2) the downpayment for commercial properties lowered to 30%; and (3) the relaxation of home purchase restrictions (HPR) in core districts (SZ/non-SZ residents allowed to buy one extra unit) with a higher home provident fund loan limit. These policies have triggered a surge in total property transactions to >10K units in May (a 14-month high).
- **K-shaped recovery: Luxury homes (>Rmb20mn)** see strong demand and robust sales on the back of tech elites and a positive wealth effect from the AI/robotics boom. Transactions for **entry-level homes (~Rmb3mn)** have recovered after a sharp price drop over the past five years. The **midrange segment (Rmb5bn-10mn)** is under pressure, with the weakest performance. By district, **Nanshan** and **Futian** are the best performers in Shenzhen.
- **Shrinking primary market and land supply:** Primary launches have declined for three consecutive years, with only 9,600 units launched in Shenzhen in 5M26 (-23% yoy). Land auctions have also slowed dramatically, with only three plots sold in 2026 YTD, leading to a product skew toward high-margin high-end products. National policies prohibit local governments from supplying new land if primary inventory months are above 10 (Shenzhen: 13.7). Land supply cannot improve materially if inventory months do not come down.
- **Primary vs. secondary market:** Transactions are shifting toward the secondary market due to declining primary launches and new land supply. For the primary market, luxury/premium projects are driving sales. For the secondary market, affordable and entry-level homes dominate transactions.
- **Mass-market recovery weighed on by large-scale rollout of affordable housing:** Shenzhen will roll out 200K-300K units of affordable housing over 2026E-30E. Affordable housing is priced at 50-70% of comparable commodity housing, and the large supply will weigh on pricing in the low-/mid-tier segment. Shenzhen rolled out 43K units of affordable housing in 2025, which is 1.2x new commodity housing supply (35K).
- **Stringent risk management:** Shenzhen has no unfinished buildings since 2022, and 42% of property transactions are on completed projects. Stricter escrow rules have also reduced unfinished building risk. Vanke's Shenzhen projects are now co-managed by SOEs (e.g., Shenzhen Metro). It has therefore maintained a decent sell-through rate and price stability for its projects.

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## Company meeting with Seazen Holdings

- **Targets clearing most DP inventories in three years:** Seazen is actively contracting the DP business with a focus on reducing inventories and debts. Current DP inventory stands at Rmb71bn. This includes: (1) Rmb2.6bn of undeveloped land (拟开发土地); (2) Rmb45.6bn of projects under construction (在建项目); and (3) Rmb22.9bn of completed, but unsettled/transferred projects (竣工未结转). There are also Rmb30bn of construction payables and Rmb10bn of tax payables. Sales are stable at Rmb1bn/month, mainly from existing projects with minimal new launches, and the developer targets clearing most DP inventories in three years, partly by repaying debt/payables with existing inventories. It has maintained a DP team, but has shifted its focus toward third-party construction service. Seazen has no land acquisition plan in 2026, but may participate in select opportunities in the future.
- **Investment Property a solid cash cow:** Seazen's IP business is solid, with commercial operation revenue (rental income + property management fee) growing 3% yoy, to Rmb4.7bn in 4M26, on the back of a 7%/10% increase in tenant sales/ foot traffic over the period. Compared to tier-1/2 cities, Seazen believes the consumption market in low-tier cities is: (1) more stable (family-centric, less policy-sensitive); and (2) less competitive (Wanda as the major competitor). Seazen is ramping up investments to improve mall quality and tenant mix, and is increasing the adoption of the fixed + turnover rent model to improve rental income (mostly fixed rent contracts now). It targets Rmb14.5bn in commercial operation revenue in 2026 (+4% yoy, 70%/50% gross/net margin), which more than covers its SG&A expenses (Rmb4bn), interest payments (Rmb3bn) and taxes (Rmb3bn).
- **Clear positioning to defend against competition from Wanda and CR Mixc:** Seazen sees Wanda as the major IP competitor in tier-3/4 cities. Compared to Wanda, Seazen believes it has a better long-term strategy to cultivate mall competitiveness and shopping experience, instead of being focused on near-term profits for liquidity. Seazen sees a clear difference in positioning among IP players, which include CR Mixc (premium), Longfor (midrange focus in tier-1/2 cities) and Seazen (mass-focused on tier-3/4 cities). CR Mixc's expansion to lower-tier cities could be a potential challenge to Seazen, but management believes the former's near-term expansion would be constrained by heavy funding needs for mall buildup. Seazen can reposition its malls toward the mass market even in the face of CR Mixc's competition in certain cities, as well.
- **Higher LTV for IP-backed loans:** Offshore debts are mainly in USD bonds (Rmb5bn-equivalent outstanding), and onshore debts are mainly in Wuyue Plaza-backed operating loans. Seazen has raised LTV for the IP-backed loans from 38% (2024) to 43% (2025), and recent new borrowings are made at 50% LTV. There are only Rmb2bn of remaining development loans due to a lack of new projects.
- **REIT the new financing channel:** Seazen has launched a private REIT backed by Shanghai's Qingpu Wuyue Plaza. It owns 34% of the REIT (consolidated) and has raised Rmb400mn by disposing 66% of the mall (5-6% expected return, based on rental income). It has raised Rmb420mn of bank loans and Rmb400mn of equity funds from the Qingpu mall in total. Seazen will launch another private REIT project this year, and it aims to launch a public REIT with a Rmb2bn issuance later in 2026. It believes the REIT channel helps: (1) marginally improve liquidity; and (2) improve debt structure (replace debt with equity) on the back of Rmb120bn of IP assets.

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## Site visits in Shenzhen and Shanghai

**Shenzhen**

- **Premium residential project:** We visited Marivista (观潮), a high-end residential project in Bao'an Xin'an Street near Qianhai that is co-developed by CR Land and China Merchants Shekou. With pricing at Rmb140K-150K/sqm with a lump sum of Rmb20mn-100mn, sales are robust and every new batch launched is sold out in a few minutes, per the sales manager. Buyers are mainly Shenzhen locals (non-locals are restricted by home purchase restrictions) aged 30-40 working in industries such as tech, finance, AI/semiconductors, etc. These young elites have amassed wealth in recent years, and some of the sales manager's customers earn Rmb100mn per year. Buyers pay a 15-20% downpayment, and most borrow mortgages at a ~3% cost.
- **NWD K11 ECOAST:** We visited New World's K11 ECOAST shopping mall in Nanshan, which opened in April 2025. Occupancy was decent, at 80-90% (no disclosure on rents), but foot traffic was weak on Wednesday at lunch time. The tenant mix was broad across EV (Tesla, Nio), F&B, game stores, bicycle rental shops and artwork shops, and the seafront coffee shop was relatively popular. There are new office buildings under construction nearby, which could be positive for foot traffic in the future.

**Shanghai**

- **Premium residential projects:** We visited: (1) COLI's Anlan Shanghai (安澜上海), a high-end residential/commercial complex in Xuhui CBD district; and (2) Shui On's premium Riverville (翠湖滨江) villa project in Yangpu district. Both projects price Rmb20mn to >Rmb100mn in lump sum per unit. Similar to Shenzhen, sales are fast, and the two projects we visited are nearly fully sold. Buyers are mainly Shanghai locals or from the nearby Yangtze River Delta, aged 30-40. There will be a lot of new office supply in the Xuhui CBD district in the next few years. Besides the commercial complex we visited, Hongkong Land will also complete the Westbund Central project in that area by 2028E.
- **IP:** We visited Hang Lung's Plaza 66, a high-end luxury mall in Jing'an district, and Longfor's Paradisewalk shopping mall in Minhang, Shanghai.
- **Hang Lung Plaza 66 (恒隆广场):** The mall enjoys unique positioning, with a high concentration of luxury brands in the city center area. Tenant sales were strong, at >10% yoy in 1Q26, driven partly by the promotion event of a major tenant in 1Q. The sales manager noted that the national tax refund policy for tourist purchases is supportive of foot traffic, but the impact on sales is limited. She also observed increased visitors from Korea, Taiwan (which benefited from the AI boom) and the Middle East.
- **Longfor Minghang Paradisewalk (龙湖闵行天街):** Foot traffic was decent on a Thursday afternoon, and key tenants include fashion wear/sportswear (CK Jeans, North Face), F&B and consumer electronics (e.g., Xiaomi, Huawei). The sales manager noted that the mall targets business, family and students as customers, and sees Wanda as the key competitor in the region. She believes Wanda is more focused on near-term profits, but the mall focuses on cultivating a decent shopping experience with an optimal tenant mix.

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**Figure 1: Strong sell-through at Marivista (观潮) in Bao'an, Shenzhen**


Source: J.P. Morgan. Note: 已售 = sold.

**Figure 2: Neighborhood and school network near Marivista (观潮) in Bao'an, Shenzhen**

Source: J.P. Morgan.

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**Figure 3: NWD's K11 ECOAST shopping mall in Nanshan, Shenzhen**


Source: J.P. Morgan.

**Figure 4: NWD's K11 ECOAST shopping mall in Nanshan, Shenzhen**


Source: J.P. Morgan.

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**Figure 5: COLI's Anlan Shanghai (left) and HKL's Westbund Central project (right) in Xuhui, Shanghai**


Source: J.P. Morgan.

**Figure 6: Shui On's Riverville villa project in Yangpu, Shanghai**

Source: J.P. Morgan.

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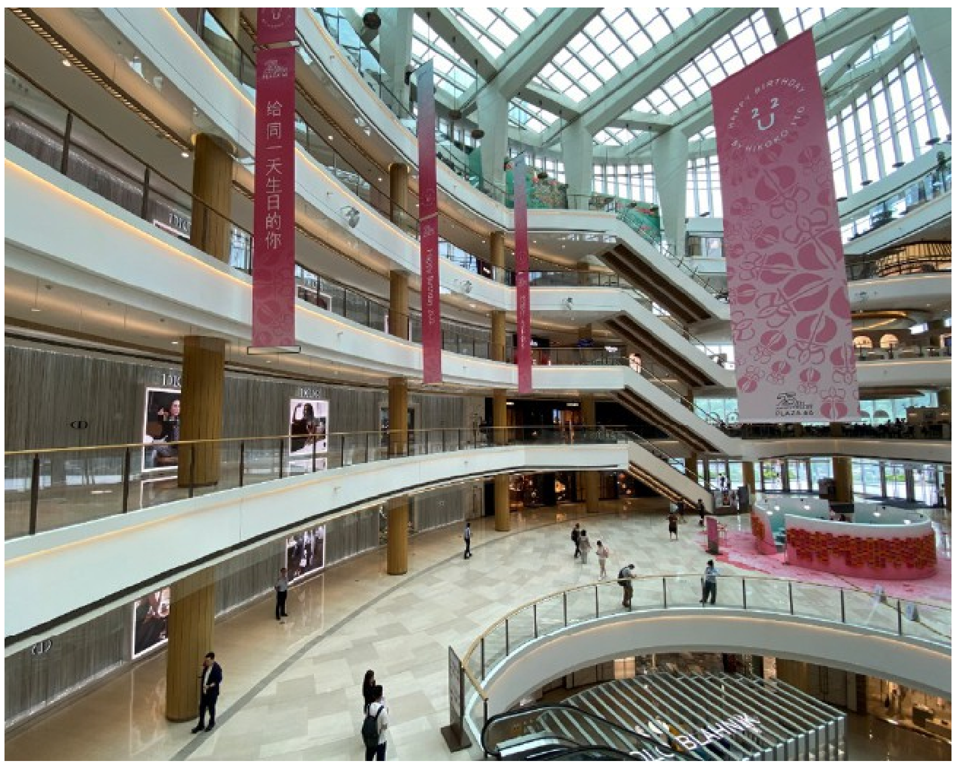
**Figure 7: Shui On's Riverville villa project in Yangpu, Shanghai**

Source: J.P. Morgan.

**Figure 8: Hang Lung Plaza 66 shopping mall in Jing'an, Shanghai**




Source: J.P. Morgan.

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**Figure 9: Longfor Paradisewalk shopping mall in Minhang, Shanghai**


Source: J.P. Morgan.

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| Issuer | 11 Jan 18 | Upgrade | Overweight | LNGFOR |
| 3.375 '27 * | 21 Aug 23 | Initiate | Overweight | XS2098539815 |
| 3.85 '32 | 21 Nov 24 | Initiate | Overweight | XS2098650414 |
| 3.875% '22 | 12 Sep 22 | Terminate | Not Covered | XS1633950453 |
| 3.9% '23 | 24 Feb 23 | Terminate | Not Covered | XS1743535228 |
| 3.95 '29 | 21 Aug 23 | Initiate | Overweight | XS2033262895 |
| 4.5% '28 | 26 Mar 20 | Upgrade | Overweight | XS1743535491 |

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|---|---|---|---|---|
| 6.75% '23 | 11 Jan 18 | Terminate | Not Covered | XS0877742105 |
| 6.875% '19 | 17 Feb 17 | Terminate | Not Covered | XS0844323930 |
| 9.500% '16 | 29 Apr 15 | Terminate | Not Covered | USG5635PAA78 |

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| Issuer | 13 Sep 24 | Terminate | Not Covered | FUTLAN |
| Issuer | 13 Jul 25 | Initiate | Neutral | FUTLAN |
| Issuer | 24 Sep 25 | Upgrade | Overweight | FUTLAN |
| Issuer | 04 Dec 25 | Downgrade | Neutral | FUTLAN |
| 11.88% '28 * | 13 Jul 25 | Initiate | Neutral | XS3099012406 |
| 11.88% '28 * | 24 Sep 25 | Upgrade | Overweight | XS3099012406 |
| 11.88% '28 * | 04 Dec 25 | Downgrade | Neutral | XS3099012406 |
| 10.25% '18 | 16 Sep 16 | Terminate | Not Covered | USG3701AAA46 |
| 10.25% '19 | 29 Mar 17 | Terminate | Not Covered | XS1086808570 |
| 4.5% '26 | 13 Jul 25 | Initiate | Neutral | XS2290806285 |
| 4.5% '26 | 24 Sep 25 | Upgrade | Overweight | XS2290806285 |
| 4.5% '26 | 04 Dec 25 | Downgrade | Neutral | XS2290806285 |
| 4.5% '26 | 21 May 26 | Terminate | Not Covered | XS2290806285 |
| 5% '20 | 07 Feb 20 | Terminate | Not Covered | XS1565437057 |
| 6% '24 | 13 Sep 24 | Terminate | Not Covered | XS2215175634 |
| 6.250% '17 | 11 Jan 18 | Terminate | Not Covered | XS1318304166 |
| 6.45% '22 | 14 Sep 22 | Terminate | Not Covered | XS2188034586 |
| 6.5% '20 | 18 Nov 20 | Terminate | Not Covered | XS1877986718 |
| 7.5% '21 | 25 Feb 22 | Terminate | Not Covered | XS1937623012 |
| FTLNHD '27 | 24 Sep 25 | Initiate | Overweight | XS3192214685 |
| FTLNHD '27 | 04 Dec 25 | Downgrade | Neutral | XS3192214685 |

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|---|---|---|---|---|
| Issuer | 31 May 26 | Initiate | Overweight | SHUION |
| 9.75% '29 * | 31 May 26 | Initiate | Overweight | XS3040578745 |

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